

EQUITY BANK GROUP

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

AS AT 31st DECEMBER 2008

BALANCE SHEET

	GROUP 31/12/2008 Shs. 000 (Audited)	GROUP 31/12/2007 Shs. 000 (Audited)	BANK 31/12/2008 Shs. 000 (Audited)	BANK 31/12/2007 Shs. 000 (Audited)
A. ASSETS				
1. Cash (both Local & foreign)	3,652,137	3,015,005	3,395,811	3,015,005
2. Balances due from central Bank of Kenya	2,468,490	2,138,352	2,468,490	2,138,352
3. Kenya Government securities	4,329,659	13,542,935	4,329,659	13,542,935
4. Foreign Currency Treasury Bills and Bonds	88,774	-	-	-
5. Deposits and balances due from banking institutions	5,160,775	4,105,148	5,160,775	4,105,148
6. Deposits and balances due from banking institutions abroad	1,162,111	2,786,245	669,833	2,786,245
7. Government and other securities held for dealing purposes	8,145,450	-	8,145,450	-
8. Tax recoverable	13,312	-	-	-
9. Loans and advances to customers (net)	44,193,749	21,836,435	40,857,796	21,836,435
10. Investment securities	-	-	-	-
11. Balances due from group companies	-	-	182,373	-
12. Investments in associates	1,155,562	441,830	1,155,562	441,830
13. Investments in subsidiary companies	51,000	-	2,976,191	-
14. Investments in joint ventures	-	-	-	-
15. Investment properties	11,269	11,269	11,269	11,269
16. Property and equipment	4,824,261	2,602,876	4,258,579	2,602,876
17. Prepaid lease rentals	4,101	4,153	4,101	4,153
18. Intangible assets	1,465,428	224,342	347,797	224,342
19. Deferred tax asset	-	-	-	-
20. Retirement benefit asset	-	-	-	-
21. Other assets	2,110,726	2,420,657	3,171,840	2,420,657
22. TOTAL ASSETS	78,836,806	53,129,247	77,135,526	53,129,247
B. LIABILITIES				
23. Balances due to Central Bank of Kenya	-	-	-	-
24. Customer deposits	50,334,525	31,535,515	48,977,136	31,535,515
25. Deposits and balances due to Local banking institutions	-	-	-	-
26. Deposits and balances due to Foreign banking institutions	899	53,321	899	53,321
27. Other money market deposits	-	-	-	-
28. Borrowed funds	6,463,137	4,521,390	6,166,630	4,521,390
29. Balances due to group companies	-	-	-	-
30. Tax payable	513,730	209,036	513,730	209,036
31. Dividends payable	-	-	-	-
32. Deferred tax liability	94,144	44,876	67,024	44,876
33. Retirement benefit liability	-	-	-	-
34. Other liabilities	1,892,567	1,848,440	1,750,185	1,848,440
35. TOTAL LIABILITIES	59,299,002	38,212,578	57,475,603	38,212,578
C. SHAREHOLDERS' FUNDS				
36. Paid up/Assigned capital	1,851,388	1,811,050	1,851,388	1,811,050
37. Share premium/ (discount)	12,161,021	10,543,037	12,161,021	10,543,037
38. Revaluation reserve	(349,321)	12,216	(112,216)	12,216
39. Retained earnings/ Accumulated losses	4,455,467	1,754,072	4,340,480	1,754,072
40. Statutory Loan Loss reserve	308,416	252,906	308,416	252,906
41. Proposed dividends	1,110,833	543,387	1,110,833	543,387
42. Capital grants	-	-	-	-
43. TOTAL SHAREHOLDERS' FUNDS	19,537,804	14,916,668	19,659,923	14,916,668
44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	78,836,806	53,129,247	77,135,526	53,129,247

PROFIT AND LOSS ACCOUNT

INTEREST INCOME				
1.1 Loans and advances	6,175,508	2,512,419	5,357,338	2,512,419
1.2 Government securities	1,540,590	545,508	1,540,590	545,508
1.3 Deposits and placements with banking institutions	262,924	196,711	270,713	196,711
1.4 Other	-	-	-	-
1.5 Total interest income	7,979,022	3,254,638	7,168,641	3,254,638
INTEREST EXPENSES				
2.1 Customer deposits	552,339	244,580	517,424	244,580
2.2 Deposits and placements from banking institutions	22,824	2,630	22,824	2,630
2.3 Other interest expense	787,064	247,314	676,382	247,314
2.4 Total interest Expenses	1,362,228	494,525	1,216,630	494,525
NET INTEREST INCOME	6,616,794	2,760,113	5,952,011	2,760,113
OTHER OPERATING INCOME				
4.1 Fees and commissions income on loans & advances	1,869,197	883,253	1,679,039	883,253
4.2 Other Fees and commissions income	3,281,099	1,948,878	3,154,891	1,948,878
4.3 Foreign exchange trading income	754,405	147,376	707,951	147,376
4.4 Dividend Income	-	-	-	-
4.5 Other income	83,874	82,981	62,440	82,981
4.6 Total Non-Interest Income	5,988,575	3,062,488	5,604,320	3,062,488
TOTAL OPERATING INCOME	12,605,369	5,822,601	11,556,331	5,822,601
OPERATING EXPENSES				
6.1 Loan Loss Provision	1,019,626	(25,341)	875,061	(25,341)
6.2 Staff costs	2,937,836	1,453,471	2,567,458	1,453,471
6.3 Directors' emoluments	16,661	16,094	16,661	16,094
6.4 Rental charges	375,428	181,867	356,700	181,867
6.5 Depreciation on property and equipment	649,375	357,508	615,671	357,508
6.6 Ammortisation charges	99,779	65,673	95,648	65,673
6.7 Other operating expenses	2,518,461	1,409,511	2,272,530	1,409,511
6.8 Total Operating Expenses	7,617,167	3,458,783	6,799,729	3,458,783
Profit/(loss) before tax and exceptional items	4,988,203	2,363,818	4,756,601	2,363,818
Share of profit in associate	34,083	14,702	34,083	14,702
Profit/(loss) after exceptional items	5,022,286	2,378,520	4,790,684	2,378,520
Current tax	(1,062,599)	(454,278)	(1,015,653)	(454,278)
Deferred tax	(49,404)	(33,959)	(22,389)	(33,959)
Profit / (loss) after tax and exceptional items	3,910,283	1,890,283	3,752,643	1,890,283

OTHER DISCLOSURES

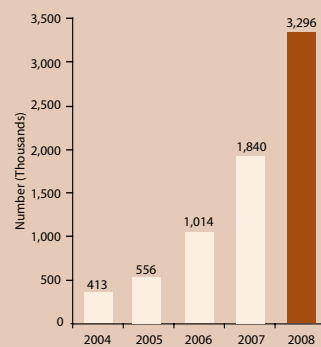
1) NON PERFORMING LOANS AND ADVANCES				
a) Gross non performing loans and advances	2,754,750	1,197,938	2,443,666	1,197,938
b) Less Interest in suspense	222,980	209,134	215,979	209,134
c) Total Non-Performing loans and advances (a-b)	2,531,770	988,804	2,227,687	988,804
d) less Loan loss provision	750,111	205,758	649,661	205,758
e) Net non-performing loans(c-b)	1,781,659	783,046	1,578,026	783,046
f) Discounted value of securities	1,781,659	783,046	1,578,026	783,046
g) Net NPLs Exposure (e-f)	-	-	-	-
2) INSIDER LOANS AND ADVANCES				
a) Directors, shareholders and associates	208,753	147,967	207,434	147,967
b) Employees	956,678	444,375	900,428	444,375
c) Total insider Loans and Advances and other Facilities	1,165,431	592,342	1,107,862	592,342
3) OFF BALANCE SHEET ITEMS				
a) Letter of Credit, guarantees, acceptances	1,889,017	2,758,326	1,889,017	2,758,326
b) Other contingent Liabilities	8,517	8,517	8,517	8,517
c) Total contingent Liabilities	1,897,534	2,766,843	1,897,534	2,766,843
4) CAPITAL STRENGTH				
a) Core Capital	-	-	14,272,336	13,666,329
b) Minimum statutory capital	-	-	250,000	250,000
c) Excess/ (defficiency) (g-h)	-	-	14,022,336	13,416,329
d) Supplementary capital	-	-	5,637,234	3,961,096
e) Total Capital (a+d)	-	-	19,909,570	17,627,425
f) Total Risk Weighted Assets	-	-	48,833,994	29,918,983
Ratios				
g) Core Capital/ Total Deposit Liabilities	-	-	29%	44%
h) Minimum statutory ratio	-	-	8%	8%
i) Excess / (defficiency) (g-h)	-	-	21%	36%
j) Core Capital/ Total Risk Weighted Assets	-	-	29%	46%
k) Minimum statutory Ratio	-	-	8%	8%
L) Excess / (defficiency) (j-k)	-	-	21%	38%
m) Total Capital/ Total Risk Weighted assets	-	-	41%	59%
n) Minimum statutory Ratio	-	-	12%	12%
o) Excess / (defficiency) (m-n)	-	-	29%	47%
5) LIQUIDITY				
a) Liquidity Ratio	-	-	47%	77%
b) Minimum statutory Ratio	-	-	20%	20%
c) Excess / (defficiency) (a-b)	-	-	27%	57%

The financial statements are extracts from the books of account of the institution. The accounts have been audited by Messrs. Ernst & Young and have received unqualified opinion. A full set of the financial statements would be available at our registered offices after approval at the AGM.

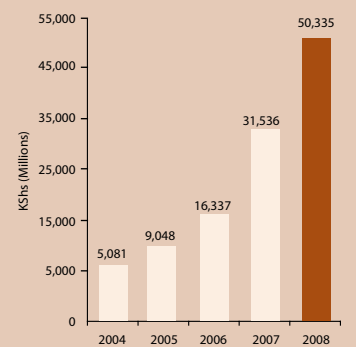
Signed: **DR. JAMES MWANGI, MBS**
CHIEF EXECUTIVE OFFICER/MANAGING DIRECTOR

Signed: **MR. PETER K. MUNGA, EBS**
CHAIRMAN

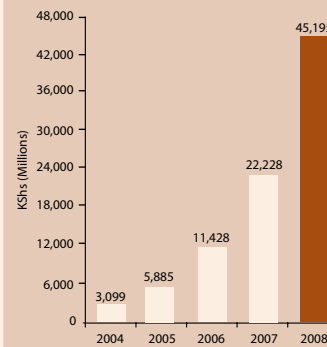
Growth in Customer Numbers



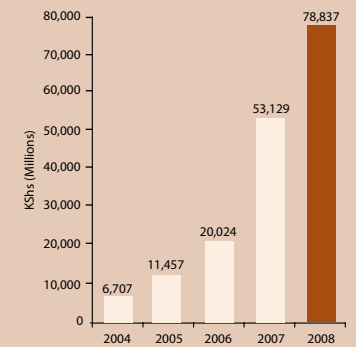
Growth in Customer Deposits



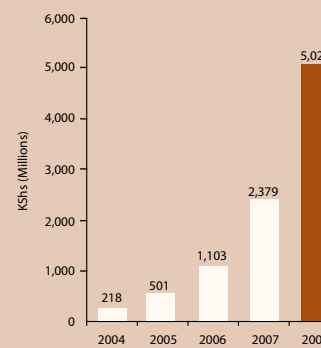
Growth in Gross Loan Portfolio



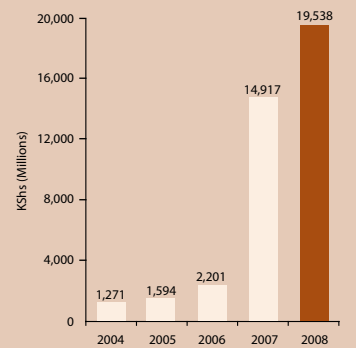
Growth in Total Assets



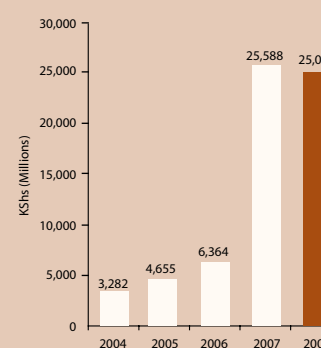
Growth in Profit Before Tax



Growth in Shareholders Funds



Growth in Liquid Assets



Growth in Staff Numbers

